

EVG1008 - Kevin & Samantha O'Brien - 2025 Form 1040

CLIENT COPY - FINAL (signed off) - Tax Year 2025 - Prepared by Evergreen Tax (synthetic firm)

Taxpayer / Spouse	Kevin M. O'Brien (XXX-XX-2841) / Samantha J. O'Brien (XXX-XX-7719)
Address	86 Hawthorne Ridge Dr, Lancaster, PA 17601
Filing status	Married filing jointly
Dependents	Emma (daughter, 2007, full-time student) - ODC + AOTC; Connor (son, 2011) - CTC
Forms included	1040, Sch 1, Sch 3, Sch 8812, Sch E, Form 4562, Form 8582, Form 8863, de minimis election; PA-40 (Sch E, W-2S)
Digital assets question	No
State / local	PA-40 resident (e-file); Manheim Twp local EIT final return filed separately with LCTCB
Filing method	E-file 04/08/2026 (Form 8879 signed 04/06/2026); federal refund direct deposit Fulton ****3318; PA balance due paid via ACH

Key figures	Amount
Total income (1040 line 9)	171,682
Adjusted gross income (line 11)	171,682
Deduction (line 12e) - Standard	31,500
QBI deduction (line 13a)	0
Schedule 1-A deductions (line 13b)	0
Taxable income (line 15)	140,182
Total tax (line 24)	17,344
Total payments (line 33)	20,116
REFUND (line 35a)	2,772

Form 1040

Line	Description	Amount
1a	Total amount from Form(s) W-2, box 1	171,300
1b	Household employee wages not reported on Form(s) W-2	0
1c	Tip income not reported on line 1a (Form 4137)	0
1e	Taxable dependent care benefits (Form 2441, line 26)	0
1h	Other earned income	0
1z	Add lines 1a through 1h	171,300
2a	Tax-exempt interest	0
2b	Taxable interest	382
3a	Qualified dividends	0
3b	Ordinary dividends	0
4a	IRA distributions	0
4b	IRA distributions - taxable amount	0
5a	Pensions and annuities	0
5b	Pensions and annuities - taxable amount	0
6a	Social security benefits	0
6b	Social security benefits - taxable amount	0
7	Capital gain or (loss) (Schedule D)	0
8	Additional income from Schedule 1, line 10	0
9	Total income	171,682
10	Adjustments to income from Schedule 1, line 26	0
11	Adjusted gross income	171,682
12e	Standard deduction or itemized deductions (Standard)	31,500
13a	Qualified business income deduction (Form 8995/8995-A)	0
13b	Additional deductions from Schedule 1-A, line 38	0
14	Add lines 12e, 13a, and 13b	31,500
15	Taxable income	140,182
16	Tax	20,668
17	Amount from Schedule 2, line 3	0
18	Add lines 16 and 17	20,668
19	Child tax credit / credit for other dependents (Schedule 8812)	2,700
20	Amount from Schedule 3, line 8	624
21	Add lines 19 and 20	3,324
22	Subtract line 21 from line 18	17,344
23	Other taxes, including self-employment tax, from Schedule 2, line 21	0
24	Total tax	17,344
25a	Federal income tax withheld - Form(s) W-2	19,700
25b	Federal income tax withheld - Form(s) 1099	0
25c	Federal income tax withheld - other forms (incl. Form 8959 line 24)	0
25d	Total withholding	19,700
26	2025 estimated tax payments and amount applied from 2024 return	0
27a	Earned income credit (EIC)	0

Line	Description	Amount
28	Additional child tax credit (Schedule 8812)	0
29	American opportunity credit - refundable (Form 8863, line 8)	416
31	Amount from Schedule 3, line 15	0
32	Total other payments and refundable credits	416
33	Total payments	20,116
34	Amount overpaid	2,772
35a	Refund	2,772
37	Amount you owe	0
38	Estimated tax penalty (Form 2210)	0

Schedule B

Line	Description	Amount
1.1	Fulton Bank	382
2	Total interest	382
4	Taxable interest (to Form 1040, line 2b)	382
6	Ordinary dividends (to Form 1040, line 3b)	0
7a	Foreign financial account at any time in 2025? / FBAR required?	No
8	Grantor of / transferor to a foreign trust?	No

Form 8863

Line	Description	Amount
Emma O'Brien	AOTC qualified expenses 12,400	2,500
phase	MAGI phase-out fraction applied	0.416
8	Refundable American opportunity credit	416
19	Nonrefundable education credits	624

Schedule 8812

Line	Description	Amount
4	Number of qualifying children under 17 with SSN	1
6	Number of other dependents	1
8	Tentative credit	2,700
10-11	Phase-out reduction (MAGI 171,682 vs 400,000)	0
12	Credit after phase-out	2,700
14	Nonrefundable CTC/ODC (to Form 1040 line 19)	2,700
27	Additional child tax credit (to Form 1040 line 28)	0

Schedule 3

Line	Description	Amount
3	Education credits (Form 8863, line 19)	624
8	Total nonrefundable credits (to Form 1040, line 20)	624

Schedule E - Property A (duplex)

Schedule E Part I - Property A: 128-130 Chestnut Row, Lancaster, PA 17602 (2-unit residential, type 2)	Amount
Fair rental days 365 / personal use days 0 / QJV no	
3 Rents received (unit A 16,200; unit B 12,950 - vacant Mar-Apr, advertised; late fees 75)	29,225
5 Advertising	85
6 Auto and travel (380 mi x 70c)	266
7 Cleaning and maintenance (lawn/snow)	600
9 Insurance	1,640
12 Mortgage interest paid to banks (Form 1098)	9,860
14 Repairs (window 450, plumbing 780, misc 1,120)	2,350
16 Taxes	5,420
17 Utilities (water/sewer/trash)	1,380
19 Other - water heater (de minimis safe harbor)	1,900
18 Depreciation (Form 4562)	8,931
20 Total expenses	32,432
21 Income (loss)	(3,207)
22 Deductible rental real estate loss after limitation (Form 8582)	0

Schedule E - Property B (cabin)

Schedule E Part I - Property B: 27 Blue Heron Ln, Pocono Lake, PA 18347 (vacation/short-term, type 1) - sec. 280A(c)(5) limited	Amount
Fair rental days 62 / personal use days 21 (family 18 + brother's free stay 3; deck-repair weekend 10/11-10/12 excluded - substantially full-time repair work)	
3 Rents received (VRBO gross - 1099-K)	14,880
Rental share of expenses = $62/83 = 74.6988\%$ (IRS method: total rental days / total days used)	
12 Mortgage interest - rental portion ($8,300 \times 62/83$)	6,200
16 Taxes - rental portion ($3,320 \times 62/83$)	2,480
19 Other - VRBO host & processing fees (direct, 100%)	1,190
7 Cleaning - guest turnovers (direct, 100%)	1,240
Utilities - rental portion $2,490 \times 62/83 = 1,860$; allowed (limited)	
Insurance - rental portion $1,660 \times 62/83 = 1,240$; allowed (limited)	
Repairs (deck boards, plumbing) - rental portion $830 \times 62/83 = 620$; allowed (limited)	
Supplies (linens, consumables) - rental portion $415 \times 62/83 = 310$; allowed (limited)	
Operating expenses allowed (limited to remaining income)	3,770
18 Depreciation allowed (limited)	0
21 Net income	0

Vacation home limitation worksheet

Pub. 527 Worksheet 5-1 - dwelling unit used as a home (IRS method)	Amount
1 Rental income	14,880
2a Rental portion of mortgage interest	6,200
2b Rental portion of real estate taxes	2,480
2d Direct rental expenses (VRBO fees + guest cleaning)	2,430
2e Fully deductible rental expenses	11,110
3 Remaining rental income (1 - 2e)	3,770
4 Rental portion of operating expenses (utilities, insurance, repairs, supplies)	4,030
5 Operating expenses allowed	3,770
Carryover of operating expenses to 2026	260
6 Rental portion of depreciation (5,682 MACRS 27.5-yr, placed in service 05/2025, x 62/83)	4,244
Depreciation allowed	0
Carryover of depreciation to 2026 (sec. 280A(c)(5))	4,244
Personal portion to Schedule A worksheet: interest 2,100; taxes 840 (cabin is a qualified second home)	
Not a passive activity (sec. 469(j)(10)) - no Form 8582 for the cabin	

Form 8582 summary

Form 8582 - passive activity loss limitation	Amount
1a Activities with active participation - current year net loss (duplex)	(3,207)
1c Prior-year unallowed losses (PY Form 8582 - organizer did not list it)	(6,200)
1d Combined	(9,407)
Special allowance: 25,000 - 50% x (MAGI 171,682 - 100,000) -> fully phased out at MAGI >= 150,000	0
Total losses allowed 2025	0
Unallowed loss carried to 2026 (duplex)	(9,407)

Depreciation detail (Form 4562)

Form 4562 / depreciation	Placed in service	Basis	Method	2025
Duplex building (PERM)	04/2018	220,000	27.5 SL MM	8,000
Unit A kitchen remodel (PERM)	09/2021	18,000	27.5 SL MM	655
NEW - duplex roof replacement (Keystone Roofing) - improvement (restoration of the roof system), capitalized	06/2025	14,000	27.5 SL MM (Part III line 19h)	276
Cabin building - rental use (62/83) - converted to rental use 05/2025	05/2025	250,000	27.5 SL MM x 62/83	4,244
Cabin depreciation allowed after sec. 280A limitation (carryover 4,244)				0

Election statement

Section 1.263(a)-1(f) de minimis safe harbor election. Kevin M. and Samantha J. O'Brien, SSN XXX-XX-2841, 86 Hawthorne Ridge Dr, Lancaster, PA 17601. The taxpayers are making the de minimis safe harbor election under Treas. Reg. sec. 1.263(a)-1(f) for the taxable year ending 12/31/2025 (applies to the rental activities; no applicable financial statement; items of \$2,500 or less per invoice/item expensed). Roof replacement (\$14,000) is capitalized; small-taxpayer safe harbor (Reg. 1.263(a)-3(h)) not available because 2025 repairs + improvements on the duplex exceed 2% of its unadjusted basis (\$265,000 x 2% = \$5,300).

Form 8863 detail

Form 8863 - American opportunity credit - Emma O'Brien (1st year, full-time, Penn State; no felony drug conviction)	Amount
1098-T box 1 tuition & required fees paid 2025 (incl. spring 2026 term billed & paid Dec 2025 - box 7)	18,400
Less tax-free scholarship (box 5) - restricted to tuition	(6,000)
Adjusted qualified expenses (room & board excluded; \$640 books also qualify but not needed)	12,400
Tentative AOTC: 100% x 2,000 + 25% x 2,000 (expenses capped at 4,000)	2,500
MAGI 171,682: phase-out (180,000 - MAGI) / 20,000 = 0.416	
AOTC allowed	1,040
40% refundable (Form 1040 line 29)	416
Nonrefundable (Schedule 3 line 3)	624

Standard vs itemized comparison

Standard vs itemized	Correct	If rental 1098 left on Sch A (trap)
Taxes: PA + local EIT withheld, home RE, cabin RE personal portion (+ duplex escrow taxes in trap)	14,645	20,065
Mortgage interest: home + cabin personal portion (+ duplex 1098 in trap)	9,500	19,360
Charity	2,400	2,400
Total itemized	26,545	41,825
Standard deduction	31,500	31,500
Deduction used	Standard	Itemized (wrong) - and the duplex would show a \$12,073 profit

State / Local Returns

Pennsylvania PA-40 (2025) - full-year residents (joint)

Line	Description	Amount
1a	Gross compensation (W-2 box 16 - includes 401(k)/403(b) elective deferrals, taxable for PA)	189,300
1b	Unreimbursed employee business expenses	0
1c	Net compensation	189,300
2	Interest income	382
3	Dividend and capital gains distributions	0
6	Net income (loss) from rents - Schedule E: duplex -3,207; cabin (PA - no sec. 280A limit assumed) -4,504 = LOSS -7,711 (not netted against other classes)	(LOSS)
9	Total PA taxable income (positive classes only)	189,682
12	PA tax liability (3.07%)	5,823
13	Total PA tax withheld (W-2 box 17)	5,812
18	Tax forgiveness (Schedule SP) - not eligible (income too high)	0
28	Tax due	11
29	Overpayment	0

PA does not apply the federal passive-loss rules or carry rental losses forward; a loss in the rents class simply cannot offset compensation. PA depreciation = federal here (no bonus). Local: Manheim Township EIT withheld (\$1,893 total, W-2 box 19); the annual local EIT final return is filed separately with LCTCB (no balance expected).